and services. Businesses can be given credit for the CO_2 and PO_2 embedded in the inputs bought by them from their suppliers.

A scale of taxation can be designed to pay pollution and carbon tax for the net CO_2 and PO_2 (or the negative value added) contributed by a business at the rates specified by the government. The rates can be determined and applied to the industries/businesses over a period of time for the businesses to get time to adjust.

This tax will make every business/industry completely conscious of the negative contribution their businesses make to society. This sensitization would also help the businesses look for solutions to reduce and eliminate the carbon and pollution footprint of their activities.

The government can also introduce a positive incentive to the businesses whose pollution and carbon account turns out to be in the negative, meaning that they actually emitted less carbon and pollution than what was contained in the inputs they used.

Reforming System of Natural Resources Taxation

Democracies work on a system of private property. Most physical properties like lands and buildings have been privatized over a period of time. Earlier, land used to be the property of the king/state and the revenues of governments primarily came from land revenues collected from the use of lands for raising crops. In India, land revenues do not contribute anything meaningful to the resources of the state governments to which land is assigned as a subject.

The resources underneath the land, however, belong to the state. As the womb of the earth has enormously valuable natural resources—crude oil, gas, coal, iron ore, other minerals and metals—governments do get significant revenues by auctioning, concessioning or otherwise permitting the use of these natural resources. Natural invisible resources over the land —spectrum, etc.—also belong to the state. As the development of